
Cold Opportunity (C): The Absolut ICEBARS Story

Like most expert entrepreneurs, Yngve Bergqvist knew that, if your stakeholder is not taking your calls, you should get the stakeholder to call *you*. Even though he began simply with the doable and worth doing at relatively low costs, Bergqvist had learned not to rest, but to keep pushing the frontiers of what most people would consider doable. Pushing a bit here and there, and then pushing some more with each new partner had led to what he considered the beginnings of a great venture, even a great *adventure*.

By 1993, when the ICEHOTEL was established, Bergqvist's next move was consistent with other moves that had come before—to continue to find partners and stakeholders who found value in helping him build and grow his venture. ICEHOTEL already served cocktails made with Absolut Vodka, but Bergqvist was inspired to take the association a step further. He did so by focusing on the doorway into the ICEBAR. Unlike the ICEHOTEL guest rooms, whose doorways featured reindeer skin curtains for privacy (it was impossible to craft traditional doors out of ice), the bar needed no such curtains. Bergqvist had the sculptors cut out the ICEBAR's doorway in the shape of an Absolut bottle—which, of course, was the heart and soul of the Absolut brand. And inside, placed on bar shelves made of ice, was a distinctive row of actual Absolut Vodka bottles.

Then, with the help of the Swedish Tourist Board, ICEHOTEL issued a press release targeted at thousands of outlets in Europe and the United States. “We wanted to hook Absolut,” Bergqvist recalled, “so we put Absolut bottles in that bar, which we sent as the press release and called it “ICEHOTEL ICEBAR, –5°C/26°F, Jukkasjarvi, Lapland,”¹ (**Figure 1**).

¹ Case writer interview with Nils Yngve Bergqvist. All subsequent quotations derive from this interview.

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Figure 1. ICEHOTEL ICEBAR, $-5^{\circ}\text{C}/26^{\circ}\text{F}$, Jukkasjarvi, Lapland.



Source: Courtesy of N. Y. Bergqvist.

“Suddenly, the marketing manager of Absolut was phoning me,” Bergqvist said. Apparently, the extensive media coverage and accompanying images featuring Absolut had attracted the attention of Absolut’s New York PR agency. “So he asked me, ‘Are we involved in that project? Everyone here is asking about it.’ I took a deep breath and told him, ‘No...but that is our wish...’ So he sent a guy up here, and we made an agreement.” Bergqvist smiled at the memory. “Buy-in is so much better than sell-in,” he said.

Yet Absolut’s approval did not automatically lead to the ICEBARs that eventually opened in London, Tokyo, and other cities around the world. The first step in the partnership led to a series of ads. And always, even as Absolut ads spread the word about ICEHOTEL around the world, Bergqvist was insistent that promoting Jukkasjarvi be part of the deal; Absolut responded with an advertisement that named Bergqvist’s beloved town by name. He never forgot the vision that had been his inspiration for the venture in the first place: the colors of that winter Arctic night and the coldness of the pure ice from the Torne River. Not only was this a matter of his personal passion, but Bergqvist knew that local partnerships were key to the quintessential ICEHOTEL experience.

There were several other partnerships along the way, including Fritz-Hansen, SAAB, Philips, S-J rail service, and SAS, along with several regional hotels. In 2008, ICEHOTEL joined forces with the energy-producing company Gävle Energi, which Greenpeace called one of “Sweden’s most environment-friendly energy companies.” The goal was for the ICEHOTEL and the ICEBARS to become CO₂ negative by the year 2015.

Bergqvist valued ICEHOTEL’s partnership with the local church in Jukkasjarvi as much as its relationship with Absolut. Every year, artists built a new Ice Church complete with a working chapel where couples from around the world married or renewed their vows, and children of diverse backgrounds were baptized; clergy from the local church officiated. And ICEHOTEL’s considerate relationship with the neighborhood paid off for both the venture and the local economy. For the people who came from everywhere to enter the Ice Chapel, the experience itself was of real value. As the website described it: “Perhaps the shared memories and experiences are stronger for the very reason that the chapel is impermanent. When no architectural memento exists, the memories and the vows exchanged are especially cherished” (Figure 2).

Figure 2. Inside the Ice Church.



Source: Courtesy of N. Y. Bergqvist.

This passion for a place that celebrated the transience of human experience and the vastness and depth of nature's indifference to it was sometimes unsettling for outsiders—and it was an aspect of the venture that Absolut understood. Perhaps that was why a proposed ICEBAR in Stockholm at first met with reluctance on the part of the vodka company. ICEHOTEL engineers and artists sought to replicate the Jukkasjarvi experience, complete with ice glasses shipped from the frozen Torne River, but Absolut balked. With a characteristic chuckle, Bergqvist described the situation as “a funny story”:

The ICEBAR Stockholm was set up in 2002. It was just a test. Absolut didn't believe in it. They told me, “It is a wrong location,” and “It is too risky of a project,” and “Don't use our trademark inside. If *you* take the risk, we can be with you but be careful.” After six months, we were the best sellers of Absolut Vodka in all of Stockholm.

After one year, they came from Absolut and said, “We think that we were wrong about the location question, and also about this concept. So how can we proceed?” And I said, “I have, during the whole time, believed in this project,” and that we were selling Absolut products the whole time. Now, we have a concept. Why don't we make a bigger concept and spread it around the world? So, we set up the franchise agreement project. After Stockholm came Milan—and a number of other cities.

The idea was not simply to make money from selling vodka in a theme bar—although the cover charge for 15 minutes could cost upward of 15 euros. The idea was to sell vodka *in* ice—instead of *on* ice—just like in Jukkasjarvi. The slogan? “Purer than water.”

Ice from the Torne River became one of Swedish Lapland's most successful export goods. Each year the ICEHOTEL produced half a million ice glasses for the ICEBARs in such cosmopolitan cities as London, Tokyo, and Copenhagen. ICEBARs attracted 600 to 1,000 clients per night throughout the world, which Bergqvist noted “is a lot of ice glasses and a lot of vodka.”

It took approximately six weeks to construct an ICEBAR, with ice sculptures made by artists who came from around the world to work their magic in places as disparate as Cambodia and Australia. In keeping with the spirit of the artists who helped sculpt the ICEHOTEL in Jukkasjarvi every year, ICEBARs attracted artists who replaced the sculptures with new ones every six months.

Although ICEBARs gained an upscale reputation internationally, not all locations were trendy nightspots. “We also make small ICEBARs like in one of Sweden's parks, for example,” Bergqvist noted. “Even for individual tourist groups...just one or two boats sometimes. We try new things all the time. And mostly, it is learning by doing, because no one else has done it.”

Wherever its location, publicity for an ICEBAR brought publicity for the ICEHOTEL. “Every time when they are writing something about the ICEBAR, they also write about the ICEHOTEL here,” Bergqvist said. “So our idea is that when people visit an ICEBAR, they get a small idea or maybe a big idea of going to the ICEHOTEL. Hopefully, we will be successful in that, [and] then we can do something really good for the tourists in this area.” By 2006, more than 135 international artists competed for 30 places on the ICEHOTEL artists list—many of whom had never before sculpted in ice.

Arctic Export

The success of ICEBARs throughout the world led to a new enterprise, Bergqvist said:

We are sending the ice out in the world in trucks. And then in boats, in container ships. So a container, when we are sending ice from here and it goes to Tokyo, we need about four a day, but the price of sending the ice glass to Tokyo is no more than double what it costs to send to Stockholm. That is around 1 kroner per ice glass to ship halfway across the world—nothing at all. Then we are sending ice also to other events, so today we were shipping a lot of ice for Hamburg.

Next Stop: Space

In 2009, the ICEHOTEL website calmly announced its partnership with Virgin Galactic, Richard Branson’s space tourism company, cofounded with Burt Rutan of Spaceship One and Paul Allen (previously of Microsoft). The first trip was scheduled to take place in 2012.